There is a class of banks in the country called small finance banks. These banks are also local and finance poor borrowers. Regional rural banks, district cooperative banks and urban cooperative banks should be allowed to convert into small finance banks with the option to use a normal or cooperative governance structure. Banks that cannot convert should be allowed to close. RBI should be the only regulator of these banks.

Delving deeper, the multiplicity of banking licensing types creates unnecessary regulatory issues and comes in the way of growth of banks. Limiting payment banks to only payments and not permitting these to provide credit is leading to payment banks getting into partnerships with other banks to become originators of loans for their account holders. Restricting small finance banks to offer loans of only a specified ticket size creates complications for the growing-business clients. There is a case to consider overhauling the entire banking licensing regime in two broad categories of large commercial banks and small commercial banks.

Non-Bank Reforms

Non-Banks are Not Banks and Should Be Regulated as Such

There is a clear movement in the country to treat non-banks as banks. Regulatory and supervisory systems are being developed accordingly. The requirement of capital, liquidity, ownership and other key regulatory parameters are being redefined to bring non-banks closer to the system applicable to banks.

Non-banks do not accept deposits (the only class of deposit-taking NBFCs is shrinking and may be considered for conversion into either small banks or non-deposit taking non-banks). They also do not create credit (they can only lend equal to their borrowed funds and equity). There is no risk of a run on a non-bank as there are no demand deposits. Therefore, non-banks should not be treated as banks at all.